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What's News

Business & Finance

- ◆ **Fed officials signaled** that their next move may be to raise interest rates, not cut them, a striking reversal at Kevin Warsh's first meeting as chairman and a sign of how sharply the inflation outlook has turned. **A1**
- ◆ **Major U.S. stock indexes** fell after the central bank's meeting, with the S&P 500, Nasdaq and Dow retreating 1.2%, 1.3% and 1%, respectively. **B11**
- ◆ **Longtime CME leader** Terry Duffy plans to step down as chief executive of the world's most valuable exchange operator early next year. **B4**
- ◆ **Apple plans to** raise prices on its products to offset the surging costs of memory and storage, Chief Executive Tim Cook said. **B1**
- ◆ **Elon Musk boosted** his voting power in Tesla to 20% by turning some of his stock options into shares that he can immediately vote but can't sell until 2028. **B3**
- ◆ **Italy's UniCredit edged** closer to its goal of taking over German rival Commerzbank, a landmark deal that would create a pan-European financial giant. **B1**
- ◆ **CarMax reported** a profit of \$185.6 million for the three months ended May 31, down from \$210.4 million a year earlier, while net sales and operating revenue climbed 6.2% to \$8.01 billion. **B3**
- ◆ **Allbirds is changing** its name to Smartbird and bringing in a new chief executive officer to oversee its pivot from a shoe company to artificial intelligence. **B4**

Worldwide

- ◆ **Trump defended** his agreement to end the Iran war, saying he wanted to avoid an "economic catastrophe" that could have resulted had the conflict continued. **A1, A8**
- ◆ **Trump frustrated** the Senate's plans to quickly confirm a new intelligence chief and renew a critical spying law, while insisting that neither would proceed until Congress passes a contentious voter-ID bill. **A1**
- ◆ **The New York architect** who admitted murdering eight women in what became known as the Gilgo Beach killings was sentenced to life in prison, winding up a long-unsolved case. **A3**
- ◆ **The Trump administration** warned the states that they risk losing federal funding for unemployment-insurance benefits if they don't comply with antifraud efforts. **A2**
- ◆ **The reviews undertaken** by Harvard University and Bard College of their connections with Epstein were flawed, Rep. Jamie Raskin wrote in letters to the institutions. **A3**
- ◆ **Georgia's Republican** legislative leaders rejected Gov. Brian Kemp's call to redraw congressional and legislative districts during a special session. **A6**
- ◆ **The Justice Department** moved to block an NAACP lawsuit challenging xAI over allegations that gas turbines powering its Mississippi data center risk polluting nearby communities. **A2**

NOTICE TO READERS
WSJ.com and WSJ mobile apps will publish on the Juneteenth federal holiday. The Wall Street Journal print edition won't be published on Friday.

CONTENTS	Markets..... B11
Arts in Review..... A16	Opinion..... A19-21
Business & Finance... B2	Personal Journal A14-15
Business News..... B3	Sports..... A18
Crossword..... A15	Technology..... B4
From Page One..... A13	U.S. News..... A2-4,6
Heard on Street..... B12	World News. A8,10,12



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Federal Reserve Chairman Kevin Warsh on Wednesday after a meeting in which the board hinted at a U-turn on rate policy.

Fed Holds Interest Rates Steady As Officials Signal an Increase

Trump's new chief at central bank joins rest of the board in deciding not to cut

By NICK TIMIRAO

Federal Reserve officials signaled Wednesday that their next move might be to raise interest rates, not cut them, a striking reversal at Kevin

Warsh's first meeting as chairman and a sign of how sharply the inflation outlook has turned.

The Fed held its benchmark rate steady, in a range of 3.5% to 3.75%, in a unanimous vote. But officials' quarterly economic projections told the story of the shift: Nine of 19 officials penciled in at least one rate increase by year's end, up from none in March. Just one foresaw a cut, down from 12.

Investors had braced in recent weeks for a higher-for-longer posture from the Fed, but this was sharper and reflected a committee inching from a watchful hold toward readiness to raise rates. After the meeting, traders in interest-rate futures markets saw a roughly one-in-three chance of a rate increase as soon as next month, according to CME Group.

That it fell to Warsh to ratify that turn was the twist. He

was President Trump's pick, chosen after the president vowed to name only someone committed to lower rates. Instead, Warsh's debut revealed a committee rowing away from cuts and toward hikes.

"We have the capability and commitment to deliver on our price stability objective,"

Please turn to page A2

◆ **Warsh's remarks spark stock slide.....** B11

Anthropic Pushes to Calm Washington

Team sent to meet with officials includes hacker who sounded alarms about AI threats

By ROBERT McMILLAN AND AMRITH RAMKUMAR

Trump administration officials have spent recent days fretting over the power of Anthropic's next-generation AI software to potentially wreak havoc on global cybersecurity. For a group of 700 cybersecurity researchers, that startling

realization came in March.

That's when Anthropic researcher Nicholas Carlini showed how easy it had become to use new models to break into systems. The lanky 35-year-old is a well-respected hacker who's considered the industry's "professional skeptic" of AI cybersecurity claims. But lately he had changed his mind.

Early that month, just weeks after getting his hands on Mythos, Carlini offered a stark warning to a standing-room-only crowd of cybersecurity experts.

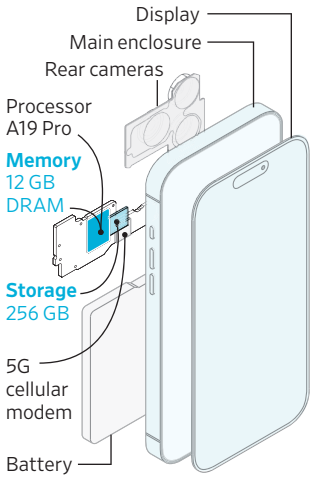
First he showed them how he had used Anthropic's AI to find and exploit a critical bug in a piece of web-publishing

Please turn to page A13

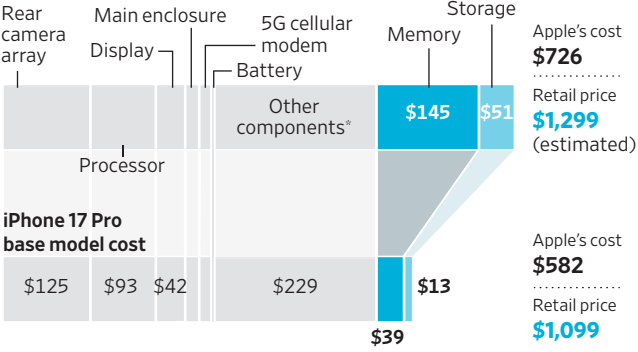
Apple to Raise Prices as Chip Costs Soar

In an exclusive interview with The Wall Street Journal, CEO Tim Cook said that Apple plans to raise prices on its products to offset the surging costs of memory and storage chips. **B1**

Apple must pay more for two memory-chip components, so the price it charges iPhone buyers also goes up



Estimated cost of iPhone 18 Pro



*Includes conversion cost. Note: Processor and memory are stacked on same chip. Source: TechInsights (component cost estimates); iFixit (hardware teardown) ANDREW MOLICCA/WSJ

Trump Roils Senate By Pausing Spy Pick

By NATALIE ANDREWS AND LINDSAY WISE

WASHINGTON—President Trump threw a last-minute wrench into the Senate's plans to quickly confirm a new intelligence chief and renew a critical spying law, while also insisting neither would proceed until Congress passes a contentious GOP voter-ID bill.

Trump said early Wednesday he was delaying the nomination of Jay Clayton, a top federal prosecutor and former chairman of the Securities and Exchange Commission, to be the next director of na-

tional intelligence. Clayton's confirmation hearing was set to take place later Wednesday, with a vote on the floor as soon as later this week, but Trump said he was stopping the nomination until Clayton's successor for his current job is approved.

Trump also said he wouldn't sign legislation to reauthorize Section 702 of the Foreign Intelligence Surveillance Act until Congress passes voter-eligibility restrictions that he has long made a priority. The voting bill doesn't have the 60 votes re-

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Cigars, Lacrosse and the Scandal Rocking a Massachusetts Town

A photo ended Ipswich's playoff run, sparking outrage and confrontations

By SCOTT CALVERT

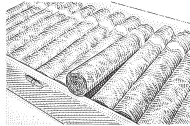
The boys gathered on an Ipswich, Mass., beach to celebrate their high-school graduation, some with medals draped over their black gowns. Jutting from each mouth: cigars that may or may not have been real.

The photos taken under cloudy skies June 7 mirrored those snapped all around the country lately. But

in this coastal enclave dubbed America's Best-Preserved Puritan Town, those snapshots have lit a burning debate.

What's beyond dispute: Six of the grads were on Ipswich High School's lacrosse team, and administrators suspended all six from a playoff game two days later for violating state athletic association rules against tobacco use. The team ultimately voted

Please turn to page A15



Up in smoke

INSIDE



PERSONAL JOURNAL
Readers share joys and challenges of having children after age 40. **A14**

U.S. NEWS
Psychiatric defense set in Mangione trial for UnitedHealthcare CEO's killing. **A3**

State Farm's AI Plan Sparks Agent Revolt

By JEAN EAGLESHAM

State Farm rolled out the red carpet for its army of sales agents at a Las Vegas convention last month. Thousands who flew into Sin City on the insurer's dime were treated to a Pink concert, a Jimmy Fallon-led singalong and selfies with the "Jake from State Farm" actor.

Then Jon Farney, State Farm's chief executive, took to the Allegiant Stadium stage and dropped a bombshell.

Farney, a 33-year State Farm veteran, told his sales force he was ripping up their existing contracts. Any agent who wants

to stay past 2027 will have to sign up to a new compensation deal and sales targets.

"State Farm needs to change," he said, according to a video of the event reviewed by The Wall Street Journal.

A big driver of that change: AI. The rapidly evolving technology is shaking up the industry's decades-old sales model, paving the way for faster, cheaper, more targeted transactions. Apps and bots are reinventing how people want to buy products like insurance.

Agents' responses to the changes lighted up Facebook, Please turn to page A6